

Lane II” and “Maiden Lane III”), Citigroup, and Bank of America. In my opinion, unconventional monetary policy is likely to become conventional, and interventions in the Fed funds market will be just one of many weapons in the Fed’s arsenal.

For now, let’s concentrate on conventional monetary policy. It may seem incredible that the Fed can affect the yields of thirty-year corporate bonds by influencing interest rates in a bank-to-bank market where funds are lent overnight, but these monetary policy actions turn out to be one of the most important drivers of all bond prices.

2.2. THE LEVEL FACTOR

Figure 9.2 plots the Fed funds rate in the solid line and the three-month T-bill rate in the dashed line from July 1954 to December 2011. The correlation between the two series is 0.99: whatever happens in the Fed funds market is mirrored in the T-bill market almost one for one. Since the 1950s, interest rates have a remarkable triangle-shaped pattern: they reached a maximum during the late 1970s and early 1980s when three-month T-bills topped 15%.⁴ During the 1970s, inflation soared

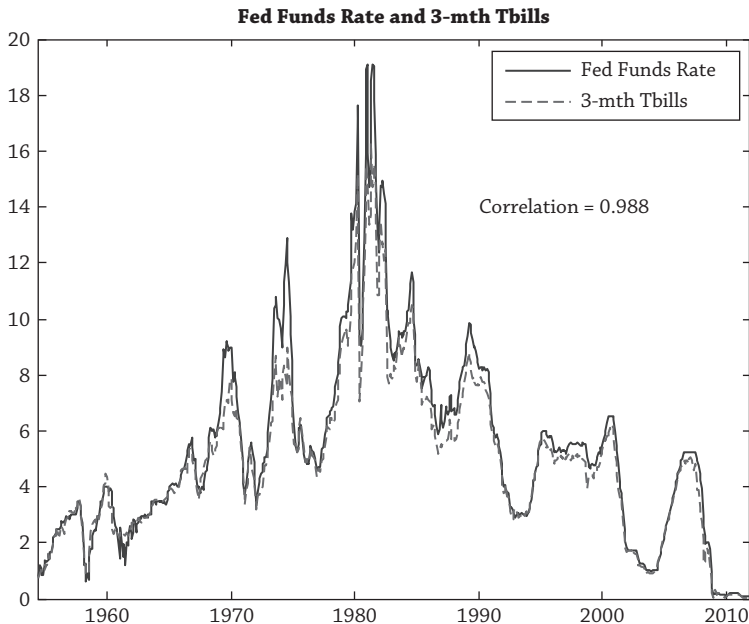


Figure 9.2

⁴ On average, the T-bill yield has been *lower* than the Fed funds rate, as can be seen in Figure 9.2. This is partly because the Fed funds market, consisting of banks, has credit risk whereas the Treasury